



Glycerine (Asia-Pacific)

By Helen Yan
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Please click [here](#) for full details on the criteria ICIS uses in making these price assessments.

OVERVIEW

- **Refined glycerine offers fall on weak downstream ECH market**
- **Demand slows down ahead of year-end seasonal holidays**
- **Supply exceeds demand, buyers wait and see, remain cautious**

Asia's glycerine market remained subdued with buyers largely adopting a cautious stance and reluctant to lock in large forward spot shipments ahead of the year-end seasonal holidays.

Supply remains ample from the upstream biodiesel output, with sellers under pressure to unload their burgeoning stocks or to destock before the fiscal year-end.

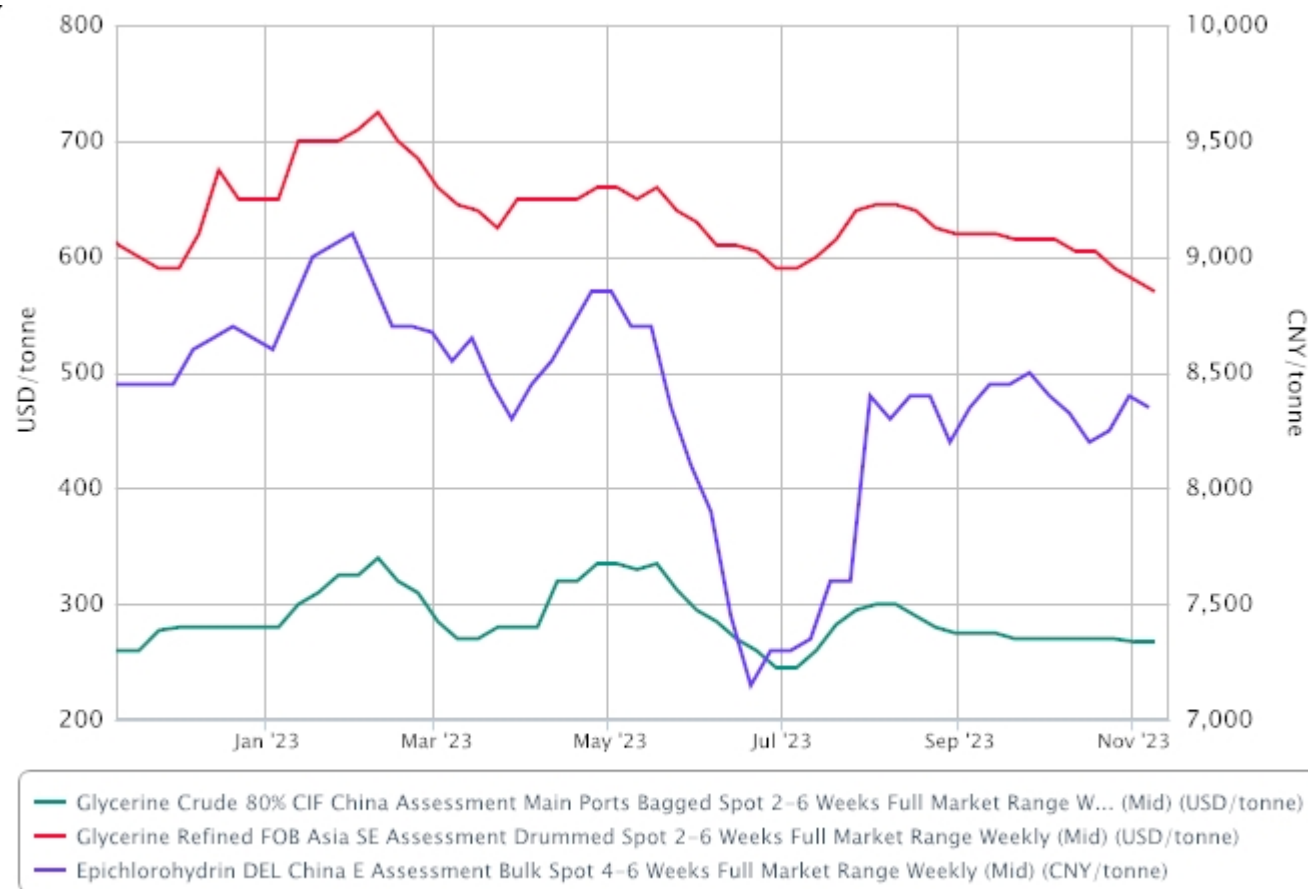
Spot offers for refined glycerine were reduced to attract spot interest, given the slump in demand from the weak downstream epichlorohydrin (ECH) market.

Spot interest for refined glycerine was mostly derived from the food and home personal care (HPC) sectors.

The crude glycerine market was sedate, with players having largely covered their November or early December requirements and having limited spot appetite for fresh cargoes.

Inventories remained ample in China, given that substantial volumes from Brazil were shipped to China in previous months.

On a note of optimism, the International Monetary Fund (IMF) has upgraded its 2023 growth forecast for China to 5.4% from 5% previously, in view of recently introduced government measures aimed at strengthening the world's second-biggest economy.



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OUTLOOK

- **Uncertainties on the Mideast conflict; sentiment dampened**
- **Supply to remain ample on B35 biodiesel mandate in Indonesia**
- **Demand sluggish near term, de-stocking towards end of the year**

PRICES

SPOT PRICES

			Price Range		Four Weeks Ago	US CTS/lb
Glycerine Crude 80%						
CIF China Main Ports Bagged	USD/tonne	n/c	265-270	n/c	260-280	12.02-12.25
Glycerine Refined						
CFR NE Asia Drummed	USD/tonne	n/c	560-640	n/c	600-650	25.40-29.03
CFR China Drummed	USD/tonne	n/c	560-640	n/c	600-650	25.40-29.03
FOB SE Asia Drummed	USD/tonne	n/c	540-600	-20	580-630	24.49-27.22

Refined glycerine

Spot prices were flat-to-soft on sluggish demand and ample supplies.

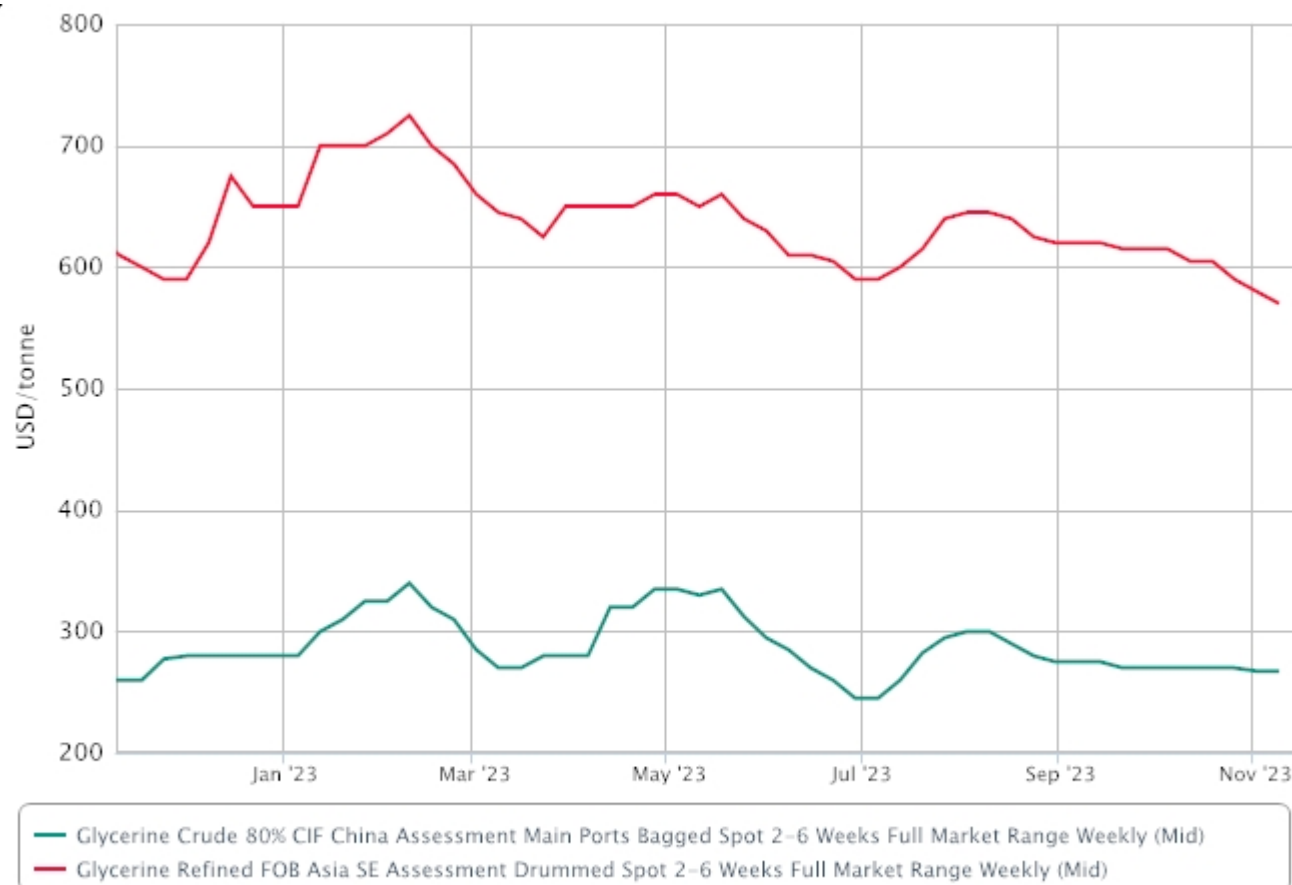
Sellers with stocks in-hand were under pressure to unload at lower prices.

Trades to China and the Middle East hovered around the \$600/tonne FOB SE Asia level for the downstream food and home personal care applications.

The downstream industrial ECH makers had limited spot appetite, having largely covered their November and early December requirements.

Discussions with the downstream industrial ECH makers hovered around the \$540/tonne FOB SE Asia level for drummed shipments.

A regional 120,000 tonne/year ECH plant will be shut 12-25 November for maintenance.



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Crude glycerine

Spot prices were assessed unchanged on thin discussions and limited trades.

Market activities were subdued, with most of the buyers having earlier purchased adequate stocks to cover their immediate requirements.

Domestic supplies were ample, with buyers having earlier sourced significant shipments from Brazil.

Product from Brazil or Latin America is typically priced lower than product from southeast Asia because it is subject to a 6% import duty and is of a lower 80% purity level.

Furthermore, it takes 5-8 weeks to ship product from Brazil to China. Crude glycerine from southeast Asia is typically at a higher 85% purity level.

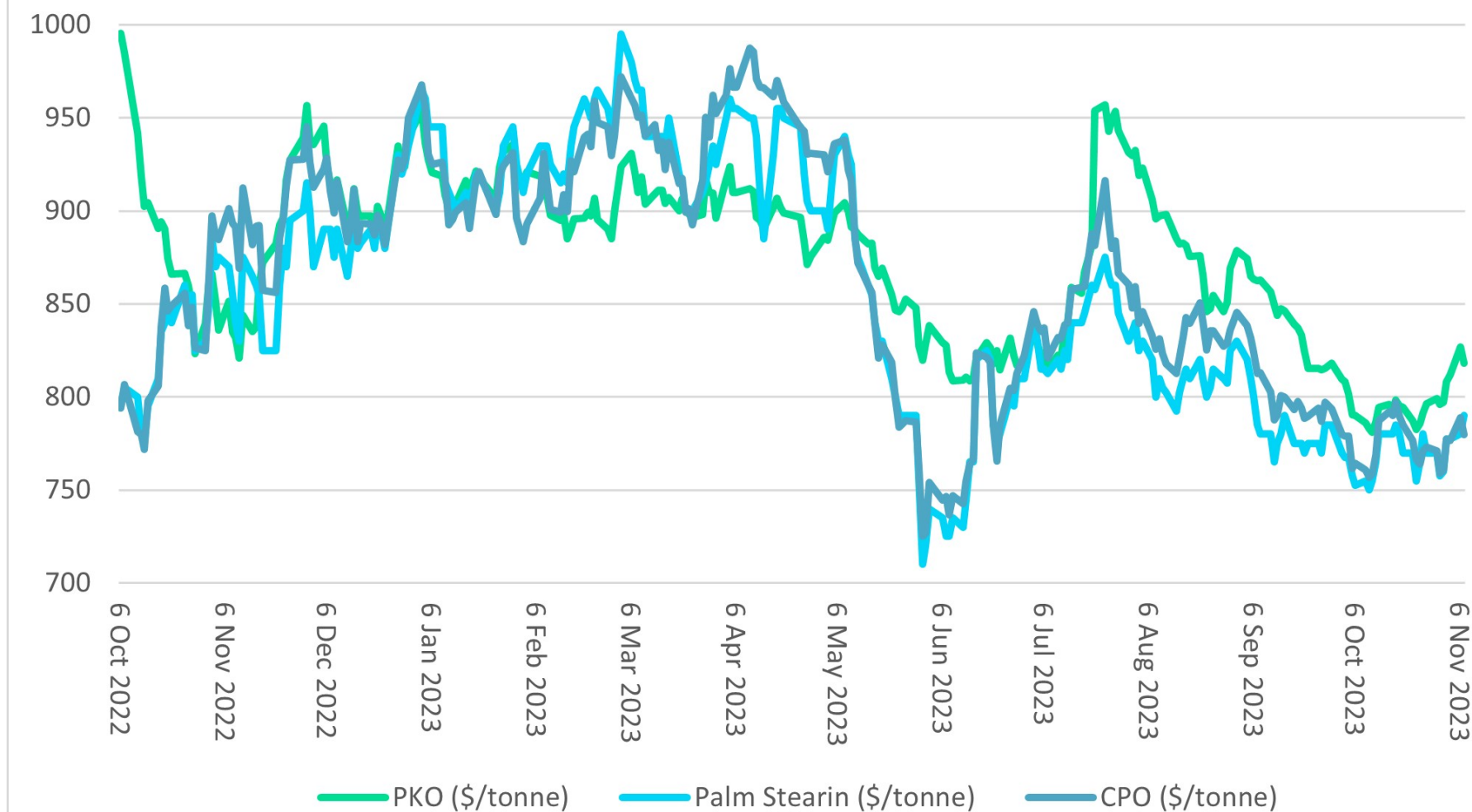
Its duty-free status and quick delivery time of about a week allows it to command a premium. Product from southeast Asia is also not subject to import duty because of the free trade agreement (FTA) between the Association of Southeast Asian Nations (ASEAN) and China.

Discussions and trades of southeast Asia-origin product sold into China were not taken into consideration in the assessment.

Spot product from southeast Asia is typically more expensive due to its shorter delivery time frame and higher purity level.

UPSTREAM

CPO vs PKO vs Palm Stearin Prices



Product	Delivery	7-Nov	31-Oct
CPO	DEL, south Malaysia (M\$)	3,640.00	3,610.00
PKO	DEL, south Malaysia (\$)	818.32	795.97

Palm Olein	FOB, Malaysia (\$)	820.00	800.00
Palm Stearin	FOB, Malaysia (\$)	790.00	757.50
PFAD	FOB, Malaysia (\$)	765.00	740.00

All prices are on a per tonne basis.

Source: Matthes & Porton

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